

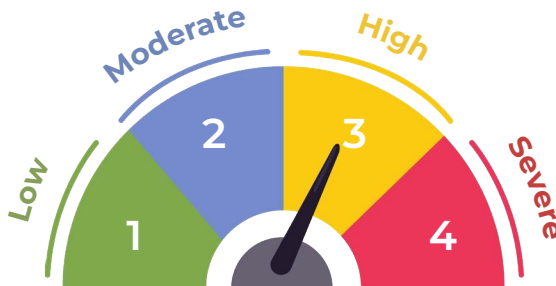
The Second Step - Risk Assessment Phase.

The second step focuses on assessing the levels of risks for the various risks identified in the previous phase. The level of risk is based on the severity and frequency of impact.

Likelihood of Risk - Frequency



Consequences of Risk



The consequence of the risk is evaluated subjectively. It can be made more objective by defining each stage. The basis of the evaluation can be financial loss, customer loss, or team morale loss. How serious a risk factor is defined by level risk. We can get it by multiplying - risk severity and likelihood of it happening.

Level of Risk = Consequence of Risk x Likelihood

$$= 3 \times 3 \text{ [likely risk with high consequences]}$$

$$= 9$$